Accounting Information Systems

2nd Year – English Section | Accounting Department | 2026

Complete Test Review – All 60 Questions with Answers & Explanations

Q1. GL/FRS aims to produce ..... for the .....

a. managerial reports; external users
b. financial statements; internal users
c. financial statements; external users
d. managerial reports; internal users

✓ Correct Answer: c. financial statements; external users

📖 **Explanation:** From Lecture 2: The General Ledger and Financial Reporting System (GL/FRS) main objective is to produce financial statements and reports for external users (investors, creditors, customers, vendors, governmental authorities, etc.).

Q2. One of AIS functions is to process information to produce data.

True
False

✓ Correct Answer: FALSE

📖 **Explanation:** From Lecture 2: One of the AIS main functions is to process DATA to produce INFORMATION for decision makers — not the other way around. Data is the input, and information is the output.

Q3. Which of the following is not one of the components of an AIS?

a. Internal controls
b. Financial statements
c. People
d. Software

✓ Correct Answer: b. Financial statements

📖 **Explanation:** From Lecture 2: The six components of AIS are: People, Procedures and Instructions, Data, Software, IT Infrastructure, and Internal Controls. Financial statements are the OUTPUT produced by the AIS, not a component of it.

Q4. Producing the same information by two knowledgeable people acting independently, is an example of information .....

a. Verifiability
b. Relevance
c. Understandability
d. Comparability

✓ Correct Answer: a. Verifiability

📖 **Explanation:** From Lecture 1: Information is VERIFIABLE when two or more independent users can reach the same result using the same information.

Q5. Components of (AIS) are organizational culture, business strategy, and information technology.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: Organizational culture, business strategy, and information technology are FACTORS THAT INFLUENCE THE DESIGN of AIS, not its components. The actual six components of AIS are: People, Procedures and Instructions, Data, Software, IT Infrastructure, and Internal Controls.

Q6. One of AIS components that provides security measures to ensure that data are safe and available when needed:

a. Procedures and instructions
b. Internal controls
c. Software
d. Information technology infrastructure

✓ **Correct Answer: b. Internal controls**

📖 **Explanation:** From Lecture 2: Internal Controls are the AIS component that is used to secure the AIS data and ensure that the organization's assets (including data) are safe and available when needed.

Q7. Which of the following is not of the factors that influence the design of AIS?

a. Business strategy
b. Information technology
c. Organizational culture
d. Internal controls

✓ **Correct Answer: d. Internal controls**

📖 **Explanation:** From Lecture 2: The three factors that influence the design of AIS are: Organizational culture, Information technology, and Business strategy. Internal Controls is a COMPONENT of AIS, not a factor influencing its design.

Q8. Information …… occurs when the produced information passes the amount of information that human can effectively assimilate and process.

a. excess
b. overload
c. deficit
d. shortage

✓ **Correct Answer: b. overload**

📖 **Explanation:** From Lecture 1: INFORMATION OVERLOAD occurs when the information available to the decision maker passes the amount of information that he can effectively assimilate and process, resulting in decreased decision-making quality and increased costs.

Q9. Which of the following is a function of an AIS?

a. Reducing the need to identify a strategy
b. Collecting, recording, and storing information
c. Transforming information into useful data
d. None of the above

✓ **Correct Answer: d. None of the above**

📖 **Explanation:** From Lecture 2: The three AIS functions are: (1) Collecting, recording, and storing DATA (not information), (2) Processing data to produce information, and (3) Providing adequate controls. Option b says 'information' instead of 'data', and option c reverses the process — AIS transforms data INTO information, not the other way around.

Q10. When two knowledgeable people acting independently reach the same result using the same information, information is said to be comparable.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 1: This describes VERIFIABILITY, not Comparability. Comparability means users can compare information with similar information of other organizations or with similar information of the same organization for another period.

Q11. Comparability as one of the useful information characteristics requires that:

a. information can reduce uncertainty
b. information is reported in a similar manner over the time
c. information is timely
d. information is accurate and free from errors

✓ **Correct Answer: b. information is reported in a similar manner over the time**

📖 **Explanation:** From Lecture 1: COMPARABILITY requires that information is to be prepared and reported in a similar manner over the time, allowing users to compare with other organizations or with the same organization for different periods.

Q12. Goal conflict occurs when a decision or action of a subsystem is consistent with the goals of another subsystem or the system as whole.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 1: GOAL CONFLICT occurs when the action of a subsystem is INCONSISTENT with the goals of another subsystem or with the system as a whole. GOAL CONGRUENCE (not conflict) occurs when the subsystem is consistent with the overall goal.

Q13. Toyota automobile manufacturer is receiving and storing steel, glass, and rubber, that is an example of …… in its value chain.

a. inbound logistics
b. services
c. outbound logistics
d. operations

✓ **Correct Answer: a. inbound logistics**

📖 **Explanation:** From Lecture 2: INBOUND LOGISTICS refers to activities that concern with receiving, storing, and distributing the MATERIALS an organization uses to create the services and products it sells. Receiving raw materials (steel, glass, rubber) is a classic example of inbound logistics.

Q14. …… is Supplied to external users to meet regulatory requirements.

a. Purchasing information
b. Mandatory information
c. Discretionary information
d. Voluntary information

✓ **Correct Answer: b. Mandatory information**

📖 **Explanation:** From Lecture 1: MANDATORY INFORMATION (also called Essential Information) is supplied to external users to meet the requirements of standards and regulations, such as financial statements.

Q15. One of AIS functions is to provide adequate controls to ensure that data are secure.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 2: One of the three main functions of AIS is PROVIDING ADEQUATE CONTROLS to ensure that the organization's assets (including data) are safe and available when needed.

Q16. The benefits produced by the information minus the costs of producing it, is known as:

a. information quality
b. information overload
c. goal congruence
d. value of information

✓ **Correct Answer: d. value of information**

📖 **Explanation:** From Lecture 1: The VALUE OF INFORMATION is defined as the benefits realized from the information minus the cost of producing the information.

Q17. The assembly lines of Toyota automobile manufacturer are converting the raw materials into finished cars that will be delivered to the distributors later, that is an example of …… in its value chain.

a. inbound logistics
b. operations
c. outbound logistics
d. services

✓ **Correct Answer: b. operations**

📖 **Explanation:** From Lecture 2: OPERATIONS refers to activities that concern with transforming inputs (materials) into final products or services. Toyota's assembly lines converting raw materials into finished cars is a perfect example of operations.

Q18. Mandatory information has more details because it deals with organization as whole.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 1: It is the opposite — MANDATORY information does NOT have more details because it deals with the organization as a whole. DISCRETIONARY information has MORE details because it focuses on segments, departments, or products.

Q19. The larger the system the more difficult is to achieve goal congruence.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 1: The larger and more complicated the system, the more difficult to achieve GOAL CONGRUENCE because of the difficulty of aligning the subsystem goals with the organization's overall goal.

Q20. MRS aims to produce managerial reports for the external users.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: The Management Reporting System (MRS) produces special purpose reports for INTERNAL USERS (management), not external users. It is the GL/FRS that produces financial statements and reports for external users.

Q21. Data differ from information in the following way:

a. Data are meaningful parts of information
b. There is no difference
c. Information is output & data are input
d. Data are output & information is input

✓ **Correct Answer: c. Information is output & data are input**

📖 **Explanation:** From Lecture 1: DATA are raw facts collected and processed by the information system (INPUT), while INFORMATION is data that has been organized and processed to provide meaning to users (OUTPUT). The flow is: Data → Information → Decisions.

Q22. The value of information could be defined as the benefits produced by the information minus the costs of producing it.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 1: The VALUE OF INFORMATION is exactly defined as the benefits realized from the information minus the cost of producing the information, where benefits include improving decision-making, reducing uncertainty, and improving planning ability.

Q23. A change in the AIS that makes information more easily accessible and widely available within an organization is most likely to first influence the organizational culture.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 2: The relationship between AIS and organizational culture is bidirectional. An AIS that makes information easily accessible and widely available is likely to INFLUENCE the organization's culture by increasing pressures for more decentralization.

Q24. Information that is complete, free from bias and accurately represents the activities of the organization is said to be relevant.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 1: Information that is complete, free from bias (neutral), and free from errors (accurate) describes FAITHFUL REPRESENTATION, not Relevance. Relevance means that information reduces uncertainty and helps users form expectations or correct previous expectations.

Q25. One of AIS components, includes the devices that used in the data processing:

a. Software
b. Procedures and instructions
c. Internal controls
d. Information technology infrastructure

✓ **Correct Answer: d. Information technology infrastructure**

📖 **Explanation:** From Lecture 2: INFORMATION TECHNOLOGY INFRASTRUCTURE is the AIS component that includes computers, servers, printers, network communications devices, etc. — all the physical devices used in data processing.

Q26. A supply chain consists of the value chains of the organization, its suppliers, its distributors, and its customers.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 2: The SUPPLY CHAIN is defined as an extended system that links between the organization's value chain and the value chains of its suppliers, distributors, and customers.

Q27. In the value chain concept, purchasing the assets that are necessary for the organization to operate is considered as a primary activity.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: PURCHASING (activities that concern with purchasing supplies, machinery, and buildings) is classified as a SUPPORT ACTIVITY, not a Primary Activity. The five Primary Activities are: Inbound Logistics, Operations, Outbound Logistics, Marketing and Sales, and Service.

Q28. The information characteristic that gives assurance that it is reasonably free of error and bias:

a. Relevance
b. Understandability
c. Faithful representation
d. Verifiability

✓ **Correct Answer: c. Faithful representation**

📖 **Explanation:** From Lecture 1: FAITHFUL REPRESENTATION means that information must be complete, free from bias (neutral), and free from errors (accurate) — giving assurance that it is reasonably free of error and bias.

Q29. This results when a subsystem action is consistent with the organization's goal.

a. System conflict
b. System congruence
c. Goal conflict
d. Goal congruence

✓ **Correct Answer: d. Goal congruence**

📖 **Explanation:** From Lecture 1: GOAL CONGRUENCE occurs when the subsystem achieves its goals that contribute to (are consistent with) the goal of the system as a whole.

Q30. In the value chain concept, AIS is considered as a ……

a. human resources activity
b. purchasing activity
c. firm infrastructure activity
d. technology activity

✓ **Correct Answer: c. firm infrastructure activity**

📖 **Explanation:** From Lecture 2: Firm Infrastructure includes accounting, finance, legal, and general administration activities. The lecture explicitly states that 'The AIS is part of the firm infrastructure,' which is a support activity.

Q31. Information that helps decision makers to form their expectations about the future or correct any previous expectations, is said to be relevant.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 1: Information is RELEVANT if it reduces uncertainty and influences decisions by helping users form their expectations about the future or correcting any previous expectations.

Q32. There is no difference in the data processing between computerized and manual AISs.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 2: The lecture explicitly states: 'Regardless the approach taken, the data processing procedures are the same.' The difference is only in the tools/technology used, not in the procedures themselves.

Q33. In the value chain concept, research and development activity is considered as a ……

a. human resources activity

b. purchasing activity
c. technology activity
d. firm infrastructure activity

✓ **Correct Answer: c. technology activity**

📖 **Explanation:** From Lecture 2: TECHNOLOGY is the support activity that includes activities that improve IT infrastructure and products or services such as research and development (R&D), product design, and website development.

Q34. Which of the following is not of characteristics that make information useful?

a. It is timely
b. It is inexpensive
c. It is accessible
d. It is relevant

✓ **Correct Answer: b. It is inexpensive**

📖 **Explanation:** From Lecture 1: The characteristics of useful information are: Relevance, Faithful Representation, Timeliness, Verifiability, Comparability, Understandability, and Accessibility. 'Being inexpensive' is NOT a characteristic of useful information.

Q35. In the value chain concept, employees training is considered as a primary activity.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: Employees training is part of the HUMAN RESOURCES support activity (which includes hiring, training, compensating, promoting, and terminating employees). It is a SUPPORT ACTIVITY, not a Primary Activity.

Q36. AIS processes accounting data to provide users with financial and non-financial information.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 2: AIS is defined as 'a system that collects, records, stores, and processes accounting data to produce financial and non-financial information for decision makers.'

Q37. Inside any system there may be goal conflict when:

a. the information exceeds the amount that human mind can absorb and process.
b. duplicate recording, storage and processes are eliminated.
c. a decision or action of a subsystem is inconsistent with the system as whole.
d. a subsystem achieves its goals that contribute to the organization's overall goal.

✓ **Correct Answer: c. a decision or action of a subsystem is inconsistent with the system as whole.**

📖 **Explanation:** From Lecture 1: GOAL CONFLICT occurs when the action of a subsystem is INCONSISTENT with the goals of another subsystem or with the system as a whole.

Q38. A firm, its suppliers, and its customers collectively form which of the following?

a. Accounting information system
b. none of the above
c. Value chain
d. Supply chain

✓ **Correct Answer: d. Supply chain**

📖 **Explanation:** From Lecture 2: The SUPPLY CHAIN is defined as an extended system that links between the organization's value chain and the value chains of its suppliers, distributors, and customers. So a firm, its suppliers, and its customers collectively form a Supply Chain.

Q39. …… could be defined as facts that are collected, recorded, stored, and processed by an information system.

a. none of the above
b. Data
c. Information
d. Subsystem

✓ **Correct Answer: b. Data**

📖 **Explanation:** From Lecture 1: DATA are defined as 'Facts that are collected, recorded, stored, and processed by an information system.'

Q40. Understandable information is to be presented in a clear and comprehensible format.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 1: UNDERSTANDABILITY means that information will be understandable if it is presented in a clear and comprehensible format.

Q41. An accounting information system (AIS) processes ..... to provide users with meaningful and useful .....

a. information; data
b. data; information
c. data; managerial reports
d. data; financial statements

✓ **Correct Answer: b. data; information**

📖 **Explanation:** From Lecture 2: The AIS collects, records, stores, and processes DATA to produce financial and non-financial INFORMATION for decision makers. The main objective is to transform data into useful information.

Q42. Which of the following is not a support activity in the value chain?

a. Purchasing
b. Marketing and sales
c. Accounting
d. Human resources

✓ **Correct Answer: b. Marketing and sales**

📖 **Explanation:** From Lecture 2: MARKETING AND SALES is one of the five PRIMARY ACTIVITIES in the value chain, not a support activity. The four Support Activities are: Firm Infrastructure (which includes accounting), Human Resources, Technology, and Purchasing.

Q43. The primary consideration when producing this type of information is that its benefits should exceed its costs.

a. Essential information
b. Discretionary information
c. Relevant information
d. Mandatory information

✓ **Correct Answer: b. Discretionary information**

📖 **Explanation:** From Lecture 1: The benefits of producing DISCRETIONARY INFORMATION should exceed the costs of producing it. This is the primary consideration since it is not required by any standards or regulations.

Q44. Data are more useful in decision-making than information.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 1: INFORMATION is more useful in decision-making. Data are just raw facts that need to be processed. Information is data that has been organized and processed to provide meaning to users and improve the decision-making process. The flow is: Data → Information → Decisions.

Q45. …… aims to produce managerial reports for the internal users.

a. General ledger and management reporting system
b. General ledger and financial reporting system
c. General journal and management reporting system
d. Management reporting system

✓ **Correct Answer: d. Management reporting system**

📖 **Explanation:** From Lecture 2: The MANAGEMENT REPORTING SYSTEM (MRS) main objective is to produce special purpose reports such as managerial reports for internal users (management).

Q46. Which of the following is a primary activity in the value chain?

a. Accounting
b. Human resource management
c. Purchasing
d. Post sales service

✓ **Correct Answer: d. Post sales service**

📖 **Explanation:** From Lecture 2: SERVICE (Post-sales service) is one of the five PRIMARY ACTIVITIES in the value chain, concerning with providing post-sale support to customers such as repair and maintenance. Accounting, Human Resources, and Purchasing are all SUPPORT ACTIVITIES.

Q47. The marketing and sales activities of organization's value chain include the activities of distributing the finished products to customers.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: Distributing finished goods to customers is OUTBOUND LOGISTICS, not Marketing and Sales. MARKETING AND SALES concerns with helping customers to buy the organization's products or services, such as advertising.

Q48. Information is relevant if it:

a. is complete, accurate, and neutral
b. is reported in a clear and useful format
c. helps users to form or correct their expectations
d. is available to users when they need

✓ **Correct Answer: c. helps users to form or correct their expectations**

📖 **Explanation:** From Lecture 1: Information is RELEVANT if it reduces uncertainty and influences decisions by helping users in forming their expectations about the future or correcting any previous expectations.

Q49. There are five components in a good AIS.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: A good AIS has SIX components, not five: (1) People, (2) Procedures and Instructions, (3) Data, (4) Software, (5) Information Technology Infrastructure, (6) Internal Controls.

Q50. Organizational culture is one of the most important factors that influence the design of AIS, while the AIS does not influence it.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: The relationship is BIDIRECTIONAL. Organizational culture influences the design of AIS, AND the design of AIS can also influence the organizational culture (e.g., an AIS that makes information easily accessible may increase pressures for more decentralization).

Q51. System is a set of interrelated components that interact to achieve a goal.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 1: A SYSTEM is defined as 'a set of two or more interrelated components that interact to achieve a goal.' The statement is consistent with this definition.

Q52. The Design of AIS is affected by organizational culture, business strategy, and information technology.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 2: The three factors that influence the design of AIS are: (1) Organizational culture, (2) Business strategy, and (3) Information technology — exactly as stated in this question.

Q53. In the value chain concept, AIS is considered as a support activity.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 2: The AIS is part of FIRM INFRASTRUCTURE, which is one of the four SUPPORT ACTIVITIES in the value chain. Support activities allow the primary activities to be performed efficiently and effectively.

Q54. Discretionary information is supplied to the internal users especially managers to meet the regulatory requirements.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 1: While DISCRETIONARY information is indeed supplied to internal users (managers), it is supplied to HELP THEM IN THE DECISION-MAKING PROCESS — NOT to meet regulatory requirements. It is MANDATORY information that is supplied to external users to meet standards and regulations.

Q55. An organization's value chain consists of 4 primary activities and 5 support activities.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: The value chain consists of 5 PRIMARY ACTIVITIES (Inbound Logistics, Operations, Outbound Logistics, Marketing and Sales, Service) and 4 SUPPORT ACTIVITIES (Firm Infrastructure, Human Resources, Technology, Purchasing) — the numbers are reversed in the statement.

Q56. Accessibility as one of the useful information characteristics means that:

a. information is reported in a clear format
b. information is timely available
c. information is reported in a similar manner over the time
d. information is available to users when they need

✓ **Correct Answer: d. information is available to users when they need**

📖 **Explanation:** From Lecture 1: ACCESSIBILITY means that information is available to users when they need it. Option (a) describes Understandability, option (b) describes Timeliness, and option (c) describes Comparability.

Q57. One of AIS components that includes both manual and automated methods of collecting, storing, and processing of the data:

a. Software

b. Procedures and instructions
c. Information technology infrastructure
d. Internal controls

✓ **Correct Answer: b. Procedures and instructions**

📖 **Explanation:** From Lecture 2: PROCEDURES AND INSTRUCTIONS is the AIS component that includes the methods of collecting, storing, and processing data, whether done manually or in an automated way.

Q58. Information overload results in increasing the cost of producing the information and decreasing the decision-making quality.

True
False

✓ **Correct Answer: TRUE**

📖 **Explanation:** From Lecture 1: INFORMATION OVERLOAD occurs when information passes the amount that can be effectively assimilated and processed, resulting in: (1) DECREASING decision-making quality, and (2) INCREASING the cost of providing that information.

Q59. Toyota automobile manufacturer is shipping automobiles to car dealers, that is an example of inbound logistics in its value chain.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: Shipping/distributing finished goods to customers is OUTBOUND LOGISTICS, not Inbound Logistics. INBOUND LOGISTICS concerns with receiving, storing, and distributing the raw MATERIALS an organization uses to CREATE its products.

Q60. In the value chain concept, AIS as a part of the firm infrastructure is considered as a primary activity.

True
False

✓ **Correct Answer: FALSE**

📖 **Explanation:** From Lecture 2: The AIS is part of FIRM INFRASTRUCTURE, which is one of the four SUPPORT ACTIVITIES in the value chain — NOT a Primary Activity. The five Primary Activities are: Inbound Logistics, Operations, Outbound Logistics, Marketing and Sales, and Service.